

US Industrials

US Multis and Machinery: Midwest Malaise? Thoughts from our time marketing in America's industrial heartland.



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Last week, we spent time marketing in the Midwest speaking with investors (weighted towards growth PMs and industrial specialists). Key themes are highlighted below.

Where is incremental investment going? Seemingly not to AI-exposed industrials (at least for now). There are worries around near-term chop and that the bottom may not be in yet. Semis is far more preferred for AI exposure given valuations and upstream positioning. Some pockets of non-AI industrials were also of interest (agricultural equipment was a popular topic) but worries around high rates and elevated oil prices seem to be dampening industrial sentiment more broadly. While we do believe this can cause some chop; valuation gaps between AI and non-AI exposed industrials have come down materially and we think this is a unique opportunity to buy some of the higher quality names in the space.

Impact of moratoriums / pace of the frontier. Moratoriums were viewed as a real-risk of volatility creation in the near-term, while almost everyone acknowledged that this dies down after mid-terms. Pace of the frontier was not expected to slow; investors agreed that governments are unwilling to pump the brakes and the prisoner's dilemma limits frontier labs' ability to do so given this seems like a winner take all / most market.

Non-resi recovery? Investors skeptical. Another debate centered around whether construction spending would broaden out into parts of non-resi beyond data centers and infrastructure. In particular, many investors asked us about whether reshoring was real. Our perspective here is that this won't be a sudden wave, but three signals point to positive momentum. First, we are seeing growth in factory construction starts (up 100% in July 2026) despite depressed spending. Second, after tax policy changes (i.e., bonus depreciation), capex expectations continue to be revised up by companies. And finally, non-residential construction activity lags money supply growth by ~24 months, and we seem perfectly aligned at the point of inflection.

What companies have sustainable earnings when capex slows? Increasing preference for equipment with a long-tail of service revenues. Chiller OEMs came up as preferred names to own if capex slows, as did the larger turbine players. There was some debate whether companies like VRT, NVT, ETN have real service moats; we believe these names have real attach rates especially on the cooling side. While they are still in early days on building out their data center service offerings we think these will start to become more material in 2028+ as the installed base continues to age.

Is industrial growth broadening out? With PMI >50 for over 2 quarters and an elevated IP (~4% annualized growth in the last 6 months vs. ~0.5% historically) there's been a persistent debate around whether industrial growth is broadening. Investors largely agreed with our thesis that this is some form of a derivative data center trade (supported as capex flows into chips, HVAC, engines, building materials, light commercial vehicles) and not a broader recovery.

BERNSTEIN TICKER TABLE

			18 Sep 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
MMM (3M)	U	USD	165.89	145.00	(8.6)%	USD	8.06	8.94	9.45	20.6	18.5	17.6
CARR (Carrier)	M	USD	53.88	78.00	(27.2)%	USD	2.57	2.85	3.29	20.9	18.9	16.4
EMR (Emerson)	O	USD	149.92	186.00	(1.7)%	USD	6.00	6.55	7.23	25.0	22.9	20.7
HON (Honeywell)	M	USD	206.46	254.00	(15.9)%	USD	6.46	8.31	9.72	32.0	24.8	21.2
JCI (Johnson Controls)	O	USD	143.28	190.00	16.7%	USD	3.78	5.09	6.35	37.9	28.2	22.6
NVT (nVent)	O	USD	157.88	229.00	44.7%	USD	3.34	5.15	6.55	47.2	30.7	24.1
OTIS (Otis)	O	USD	68.52	90.00	(39.5)%	USD	4.05	4.05	4.52	16.9	16.9	15.1
PH (Parker Hannifin)	O	USD	943.54	1,218.00	9.5%	USD	32.31	35.13	38.68	29.2	26.9	24.4
ROK (Rockwell)	M	USD	415.62	514.00	3.9%	USD	10.47	13.13	14.53	39.7	31.7	28.6
TT (Trane)	O	USD	429.11	575.00	(8.7)%	USD	13.06	15.28	17.79	32.9	28.1	24.1
VRT (Vertiv)	O	USD	249.39	368.00	60.3%	USD	4.20	6.60	9.06	59.4	37.8	27.5
AGCO (AGCO)	M	USD	119.79	98.00	(6.7)%	USD	5.29	5.62	7.17	22.6	21.3	16.7
DE (Deere)	M	USD	683.99	580.00	28.3%	USD	18.51	18.02	19.93	37.0	38.0	34.3
CNH (CNH Industrial)	M	USD	13.45	9.00	5.9%	USD	0.55	0.44	0.60	24.3	30.3	22.3
PCAR (Paccar)	O	USD	116.06	148.00	0.5%	USD	5.01	5.91	7.23	23.2	19.6	16.0
CMI (Cummins)	M	USD	532.23	700.00	9.5%	USD	20.51	30.41	32.39	25.9	17.5	16.4
ETN (Eaton)	O	USD	424.77	534.00	(0.9)%	USD	12.07	13.45	16.37	35.2	31.6	25.9
HUBB (Hubbell)	O	USD	446.92	584.00	(13.8)%	USD	18.33	20.50	24.03	24.4	21.8	18.6
J (Jacobs)	O	USD	143.40	163.00	(19.5)%	USD	6.12	7.28	8.65	23.4	19.7	16.6
LGN (Legence)	O	USD	55.80	103.00	72.4%	USD	298.82	575.39	627.40	24.5	12.7	11.7
OSK (Oshkosh Corp)	M	USD	146.61	138.00	(7.8)%	USD	10.78	11.00	14.39	13.6	13.3	10.2
PWR (Quanta Services)	M	USD	636.71	748.00	47.6%	USD	10.75	16.90	19.24	59.2	37.7	33.1
TRMB (Trimble)	O	USD	57.56	73.00	(44.9)%	USD	3.14	3.67	4.30	18.4	15.7	13.4
TTAM (Titan America)	M	USD	13.32	17.00	(28.3)%	USD	389.66	411.90	472.37	7.6	7.2	6.3
URI (United Rentals)	O	USD	1,013.91	1,317.00	(7.8)%	USD	42.11	49.29	56.74	24.1	20.6	17.9
SPX			7,650.50									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CNH estimate is Reported EPS; LGN, TTAM estimate is EBITDA (M); CNH valuation is Reported P/E (x); LGN, TTAM valuation is EV/EBITDA (x); PH base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate MMM Underperform, TP \$145

We rate CARR Market-Perform, TP \$78

We rate EMR Outperform, TP \$186

We rate HON Market-Perform, TP \$254

We rate JCI Outperform, TP \$190

We rate NVT Outperform, TP \$229

We rate OTIS Outperform, TP \$90

We rate PH Outperform, TP \$1218

We rate ROK Market-Perform, TP \$514

We rate TT Outperform, TP \$575

We rate VRT Outperform, TP \$368

We rate AGCO, Market-Perform, TP \$98

We rate CAT, Market-Perform, TP \$1,002

We rate CMI, Market-Perform, TP \$700

We rate CNH, Market-Perform, TP \$9

We rate DE, Market-Perform, TP \$580

We rate ETN, Outperform, TP \$534

We rate HUBB, Outperform, TP \$584

We rate J, Outperform, TP \$163

We rate LGN, Market-Perform, TP \$103

We rate OSK, Market-Perform, TP \$138

We rate PCAR, Outperform, TP \$148

We rate PWR, Market-Perform, TP \$748

We rate TRMB, Outperform, TP \$73

We rate TTAM, Market-Perform, TP \$17

We rate URI, Outperform, TP \$1,317

DETAILS

Earlier this week we spent time across the Midwest speaking with investors. We spoke with a mix of both large cap growth PMs and industrials specialists along with a few SMID / value teams as well. Key themes we heard are highlighted below.

Where's the incremental dollar going?

Apparently, not to AI-exposed industrials! Barring one investor, AI / data center exposed industrials seemed to be out of favor with the Midwest community and they did not think they would be investing incremental capital into the space. Most longer-term investors were sitting on material gains from the sector and worried that they were overweight; while they did not think they would be exiting the space, they also said they'd rather deploy fresh capital elsewhere. Some investors said they did not feel like this was the bottom, at least in the run up the midterm elections. While we think these stock do seem very attractive from a valuation perspective for investors that can stomach a longer holder period and near-term volatility, we do think that the sector is moving less on their own fundamentals and more on a broader narrative which could imply more fear-driven downside before things improve depending on news flow.

One PM flagged that the AI-industrials sector is filled with "tourists" as people have continued to look downstream for sectors that could benefit from AI capex, and while industrials have benefited from this there is some level of rotation as this generalist investors look elsewhere for returns. Semis seems to be more of interest to the broader group; NVIDIA at 12x buy-side earnings was a common theme where investors felt it was just more attractive to invest upstream at this point in the cycle. There were also pockets of other industrials that investors asked about; agricultural equipment in particular received significant interest (granted, we were in the Midwest) on the belief that there could be an inflection play out in the cycle. However, an elevated rate environment and high crude oil prices in seemed to weigh on sentiment for non-AI industrials more broadly, with concerns that this could keep multiples depressed in the near-mid term.

The elephant in the room (moratoriums / pace of the frontier)

The biggest narrative driver at this point continues to be moratoriums and worries around AI safety. On moratoriums, most investors seem to agree with our own perspective that this is a temporary phenomenon and has some degree of political posturing in the run up to midterms. Our own data center tracker continues to show data center construction continues unabated (although approvals have halted) and we expect things to re-accelerate once elections are done. With ~40 governors coming up for re-election across the US, an anti-data center stance does seem to be an easy way gain favor from voters. With that said, we have also heard some initial chatter of unions coming out increasingly against anyone that is unsupportive of data center builds. For mechanics, electricians, and plumbers that have seen their incomes effectively triple (or more) supported by the data center story, the build is after all key to their continued wealth creation.

On the pace of frontier model development, our perspective (which seemed relatively uncontroversial) was that nothing really changes. At the end of the day, cross-country collaboration is challenging and both the US and Chinese governments have very definitively indicated that they are unsupportive of any slowdown. While the companies themselves may advocate for this, there is really to incentive for them to slow down when their competitors refuse to / are not forced to by government intervention.

Can reshoring support a recovery in non-residential construction?

Investors wanted to know if and when we could expect to see an uptick in non-residential construction (outside of data centers and infrastructure projects). In particular, there was debate around whether reshoring is real, and if there are any data points to support it. Our perspective here is that we don't expect to see an immediate tsunami of projects (even if many have been announced), but signs do point towards positive momentum. First, while construction spending growth seems weak in manufacturing, facility starts were up 100% last month indicating spending will follow if this sustains. Second, after the changes in tax policy were signed into law (i.e., bonus depreciation), company expectations of capital spending continue to tick upwards. Finally, non-residential construction activity lags money supply growth by ~24 months, and based on money supply data, we seem to be right at the point of inflection. With that said, the jury is still out on the impact recent (and projected) impact rate increases will have on these positive signals.

Sustainability of earnings when data center capex slows

Another broad-based theme was a desire to own names with strong service attach rates and material aftermarket revenue. Chiller OEMs (TT, JCI, CARR) came up as strong stocks to own given the 8 – 10x aftermarket opportunity once the equipment is installed as did the turbine manufacturers. There was some nervousness around whether this service opportunity could be

captured by third parties. We do not believe this is a material risk for two reasons. First, the value of a service contract pales in comparison to the rack the chiller cools and we have heard from enough data center operators that they will not take a chance on the GPUs to save a fraction of a % point on overall operating costs. Second, we believe that chillers will continue to get smarter. This really gives no one the ability to service a unit better than the OEM that installed it (due to availability of data). All that said, we think the service moat is robust for chiller OEMs. There was also some debate around sustainability of the service business around names exposed to white space cooling like VRT, NVT, and ETN. At least on the cooling side, we do think this is going to be a real part of their business. While they are still earlier in the service journey and the equipment in data centers is new (so it doesn't need to be serviced yet) companies have highlighted this to be a priority area. We expect to see traction as equipment-in-place continues to age. In a similar vein on power, it is also worth noting that CAT will benefit from a similar trend as their BTM generator fleet continues to expand.

Is growth really broadening out? Or is this a data center derivative trade?

With PMI positive for over two quarters and IP well above historical averages (annualized 4% growth in the last 6 months vs. 0.5% as the long-term average), there has been a debate around whether growth is broadening beyond data centers. The general sentiment of most industrial-focused investors we spoke with in the Midwest, however, was relatively uniform. They believed the broadening out / inflection we are seeing in short-cycle orders is heavily influenced by AI capex in some form. We did some work on this a few weeks ago (link); we also estimate that ~80% of the industrial recovery in IP we're seeing is driven by semis, HVAC, machinery, building materials, light commercial vehicles, etc. all of which are seeing most of their growth being driven in service of building data centers. That's not necessarily a bad thing; capex is capex but growth is clearly not as broad as was earlier debated.

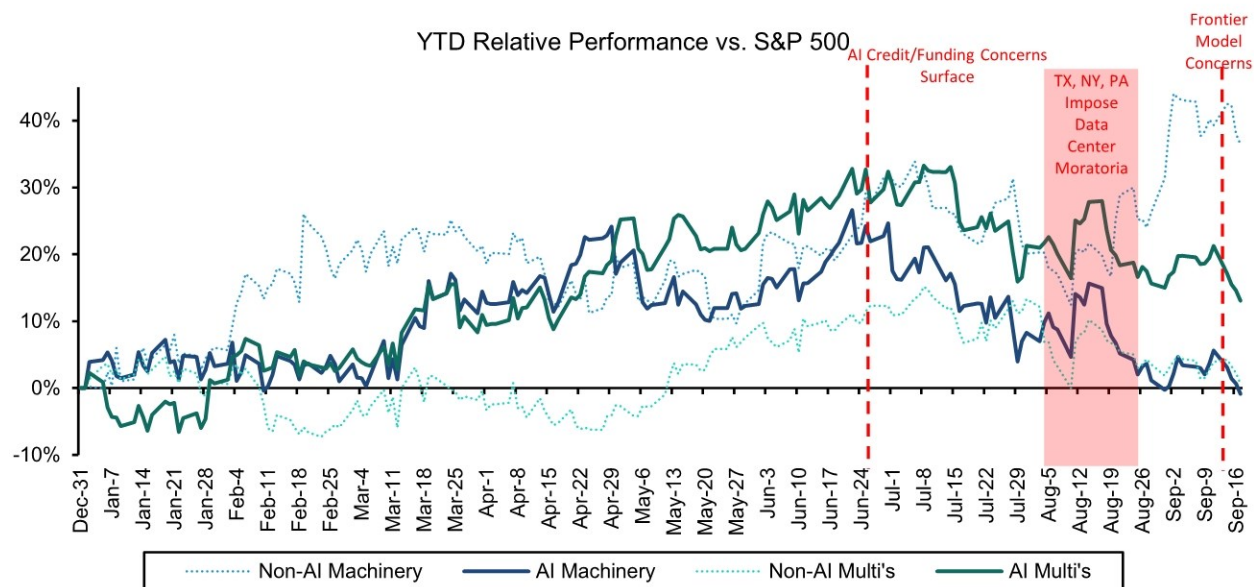
Thoughts on individual companies

US multi-industrials: VRT came up in practically every conversation; investors were still concerned around the recent report flagging product / service quality issues. We continue to re-iterate our belief that these issues seem to be overblown and do not reflect conversations we have had with data center operators. Some investors did push back on this; the worry was that Vertiv is doing a lot of M&A and focusing more on modular offerings which are different from their historic focus on point products which could be causing issues. Investors did agree that these are not structural issues; more likely teething pains if true that clear up sooner rather than later. It was a similar story around the risk of delays into the back half of the year. We believe the bigger risk here is a misalignment between guidance and buy-side expectations. While VRT has increased their guide (and sound like they're going to meet it), we think the buy-side still sits higher. **JCI** also received interest, less for the growth outlook (which the market seems to have priced in) and more about the transformation story. We re-iterate our belief that the ongoing transformation has still only scratched the surface on margin expansion potential and continue to believe the company will continue to deliver strong incrementals in FY27. **EMR** was the third big topic of conversation on the automation side (there was less interest on HON / ROK with this group); investors see this as a non-AI name that benefits from longer-term AI adjacent trends (LNG / power / semis buildout in the US); the fact that they are relatively less-exposed to the Middle East was seen as a positive.

US Machinery & Electricals: ETN was a big point of investor focus, with the first question focused on whether the margin expansion was achievable/credible. We believe it is and getting past this issue will unlock the catalyst path to positive estimate revisions once ETN updates their 5-year targets in 2027. During the week, we received endorsement from the company on the former when ETN announced that 3Q is tracking towards the high end of the guidance range. ETN guided to 24.6-25% and the street is at 24.8%. The April and August pricing actions along with selective backlog repricing are creating confidence. Into '27, pricing should be a tailwind for price/cost. With margin concerns receding, we think investors will focus on the earnings power ahead, and we forecast a 26-30 EPS CAGR of 18% vs. street of 12%, who does not properly appreciate the portfolio transformation that is underway. Sticking with electricals, **PWR** also came up, with investors noting the massive de-rate that took place over the last 3 months and the subsequent post 2Q-earnings rally and give-back, though AI cycle concerns keep investors from adding. Conversations also covered **URI** and **DE**, as investors sought non-AI names to own. The biggest overhang for **URI** is the trajectory of interest rates and whether the stock could work in a higher rate environment. What didn't come up was also interesting: the questions about competition and EquipmentShare did not surface once. It had been months since investors proactively brought **DE** up in a meeting, but it was a topic last week. The main question was whether this was just a corn price rally that could easily get faded or something more durable. There was broad consensus that each of the 3 ag OEMs (DE, CNH, and AGCO) are pricing in 3 different ag cycles and the appetite to own CNH and AGCO, given DE's valuation was stronger.

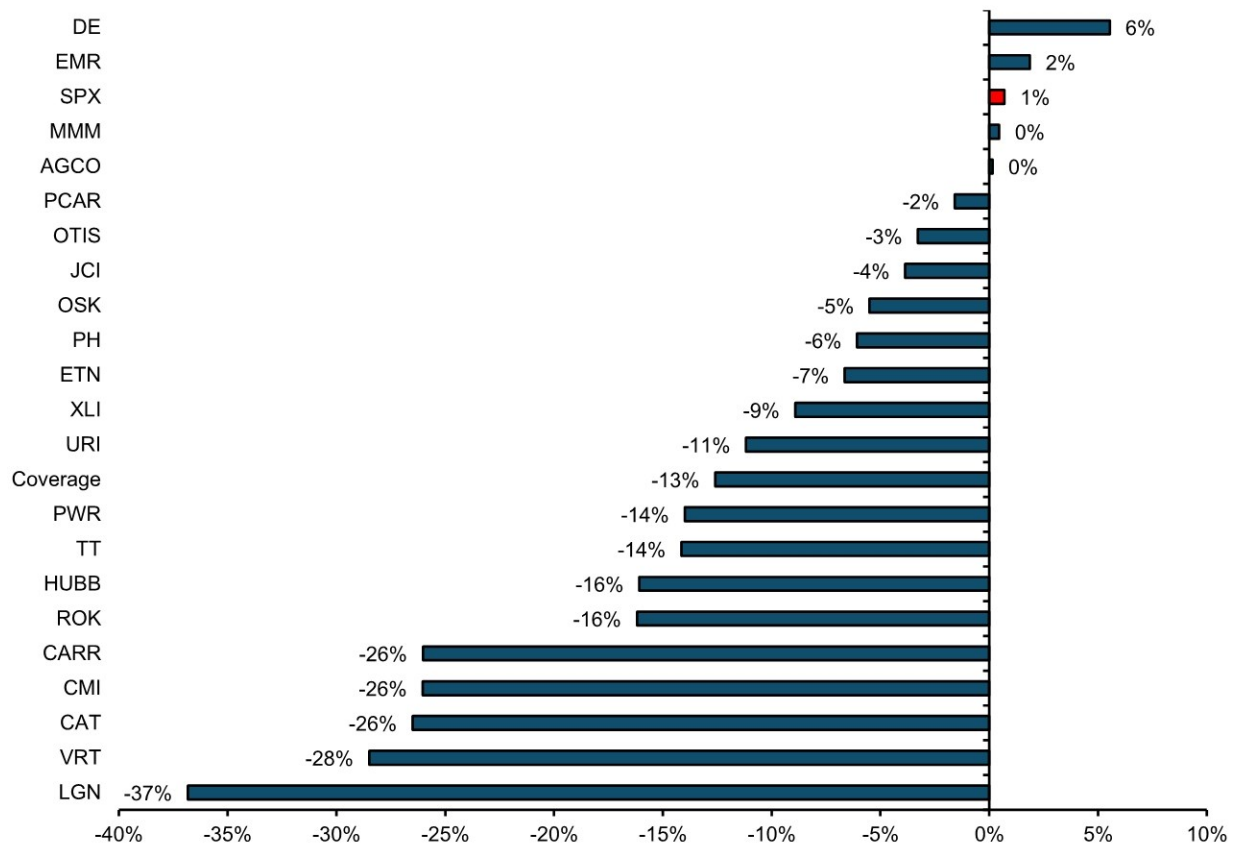
TO PUT THE INCREMENTAL DOLLAR INTO AI INFRASTRUCTURE OR NOT: 8 CHARTS THAT ILLUSTRATE THE DILEMMA

EXHIBIT 1: Over The Last 3 Months, The AI Infrastructure Trade Has Come Under Attack From 3 Directions



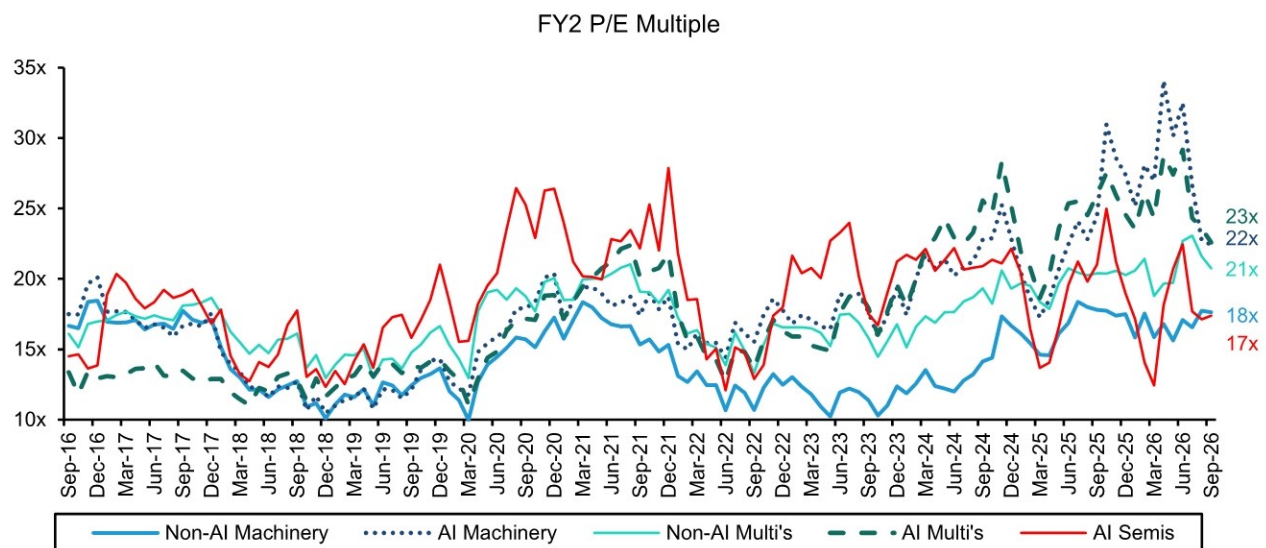
Source: Bloomberg, Bernstein analysis

EXHIBIT 2: Machinery & Multi's: 3QTD Performance



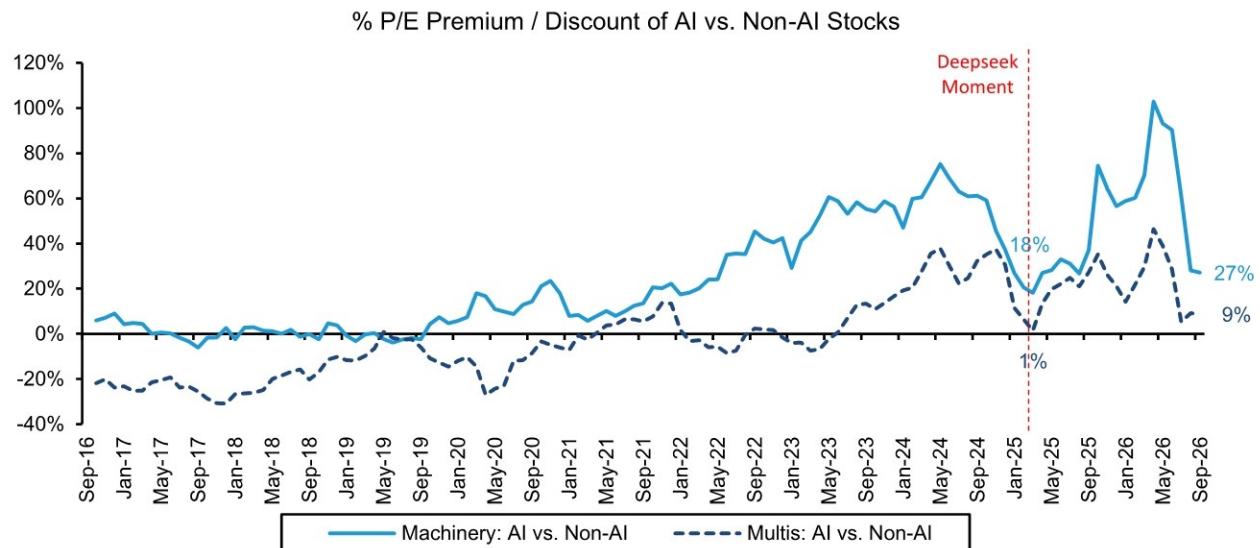
Source: Bloomberg, Bernstein analysis

EXHIBIT 3: Since Mid-Summer, The Market Has Aggressively De-Rated Machinery & Multi-Industrial Stocks With High AI Exposure



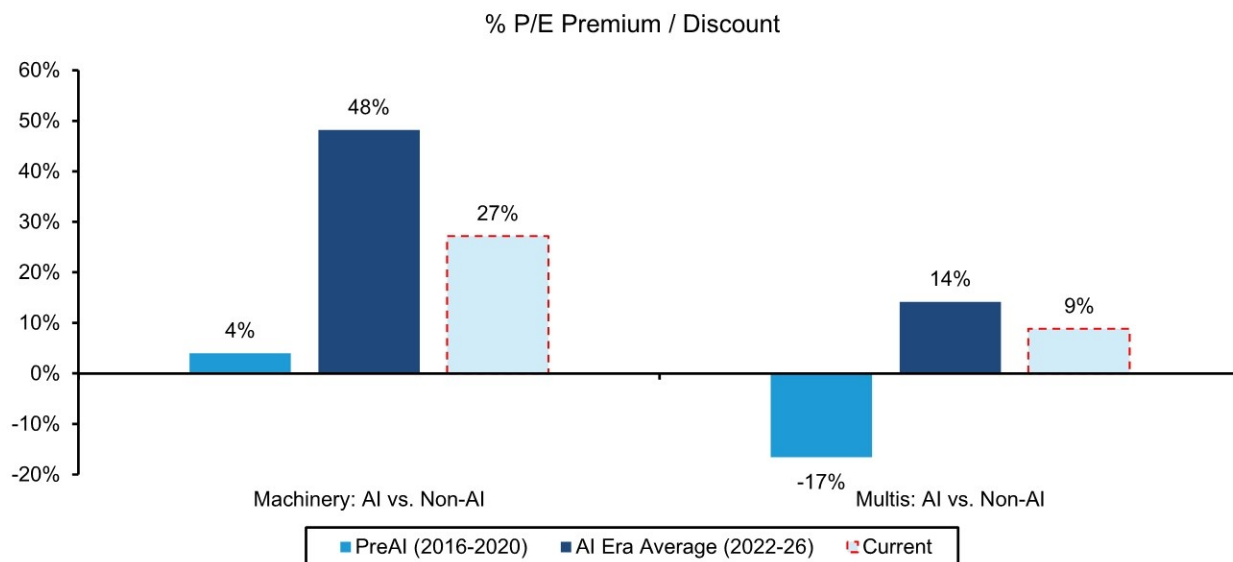
Source: Bloomberg, Bernstein analysis

EXHIBIT 4: The AI Exposed Stocks In Our Machinery & Multi's Coverage Have De-Rated Towards Their Non-AI Peers and Are Approaching Levels Last Reached During The Deep Seek Score



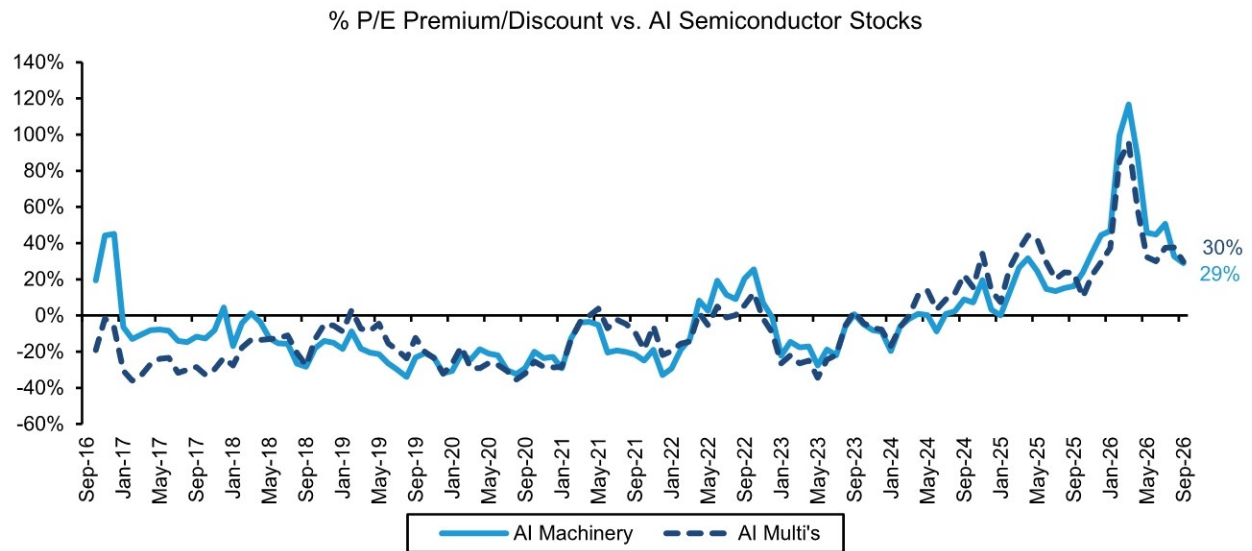
Source: Bloomberg, Bernstein analysis

EXHIBIT 5: AI Infrastructure Sentiment is a Solid 5 Out of 10: AI Machinery & Multi's Stocks Have De-Rated Below Their 4-Year Average, But Trade At Premiums That Are Well Above Pre-AI Levels



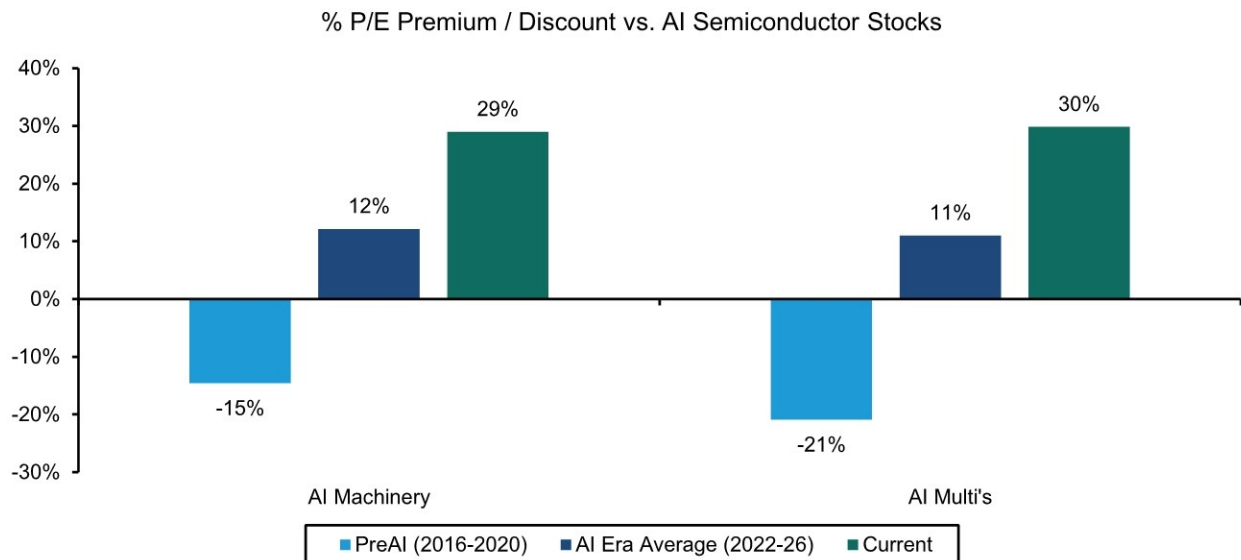
Source: Bloomberg, Bernstein analysis

EXHIBIT 6: The Portfolio Manager Perspective: Even After The Recent De-Rate, AI Machinery & Multi's Stocks Still Aren't Cheap AI Semis Stocks



Source: Bloomberg, Bernstein

EXHIBIT 7: Contextualizing The AI Semi's vs. AI Machinery & Multi's Valuation Differential: Today, The Last 4 Years of The AI Infrastructure Cycle and Pre-AI Cycle



Source: Bloomberg, Bernstein analysis

EXHIBIT 8: A Head-To Head Look At AI vs. Non-AI Stocks: FY2 P/E Valuation Table

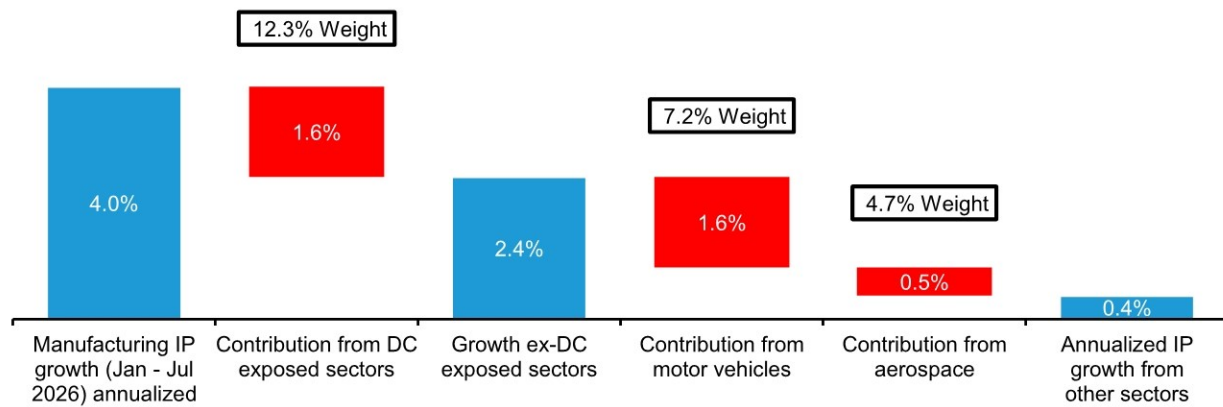
MACHINERY & ELECTRICAL INFRASTRUCTURE																		
	CAT	CMI	AI Stocks					Non-AI Stocks								Summary		
			PWR	ETN	LGN	HUBB		AGCO	CNH	DE	OSK	URI	PCAR	TRMB	J	AI	Non-AI	%Δ
Current	24x	15x	32x	25x	19x	19x		16x	20x	30x	10x	18x	16x	14x	17x	22x	18x	27%
Pre AI (2016-2020)	16x	13x	12x	15x	--	17x		15x	13x	16x	14x	9x	14x	20x	12x	15x	14x	4%
AI Era Average (2022-26)	18x	14x	27x	23x	37x	21x		12x	11x	18x	10x	14x	14x	19x	15x	23x	14x	66%
AI Era Peak (2022-26)	35x	21x	46x	31x	54x	26x		21x	20x	30x	23x	21x	19x	32x	21x	36x	23x	53%
% Difference vs.																		
Pre AI (2016-2020)	50%	14%	156%	64%	--	15%	4%	54%	84%	-24%	93%	16%	-31%	44%		53%	46%	7%
AI Era Average (2022-26)	36%	10%	17%	8%	-48%	-9%	32%	83%	65%	-1%	30%	20%	-28%	17%		-3%	47%	-51%
AI Era Peak (2022-26)	-32%	-28%	-32%	-20%	-64%	-26%	-25%	0%	0%	-55%	-16%	-15%	-57%	-18%		-37%	-11%	-25%

MULTI-INDUSTRIALS															
	VRT	NVT	AI Stocks				Non-AI Stocks						Summary		
			CARR	TT	JCI		HON	ROK	MMM	EMR	OTIS	PH	AI	Non-AI	%Δ
Current	26x	23x	16x	24x	23x	21x	28x	17x	20x	15x	24x		23x	21x	9%
Pre AI (2016-2020)	13x	12x	16x	15x	14x	9x	21x	16x	19x	25x	16x		14x	18x	-19%
AI Era Average (2022-26)	23x	20x	19x	24x	18x	11x	25x	13x	19x	21x	20x		21x	18x	15%
AI Era Peak (2022-26)	39x	30x	26x	33x	26x	24x	34x	20x	23x	28x	30x		31x	27x	16%
% Difference vs.															
Pre AI (2016-2020)	97%	84%	2%	62%	69%	135%	31%	6%	7%	-38%	48%		60%	18%	42%
AI Era Average (2022-26)	16%	17%	-12%	-2%	25%	97%	13%	24%	8%	-27%	19%		9%	15%	-7%
AI Era Peak (2022-26)	-32%	-24%	-37%	-27%	-12%	-15%	-18%	-17%	-13%	-46%	-20%		-27%	-22%	-5%

Source: Bloomberg, Bernstein analysis

EXHIBIT 9: DCs / DC-adjacent submarkets drive majority of manufacturing IP growth

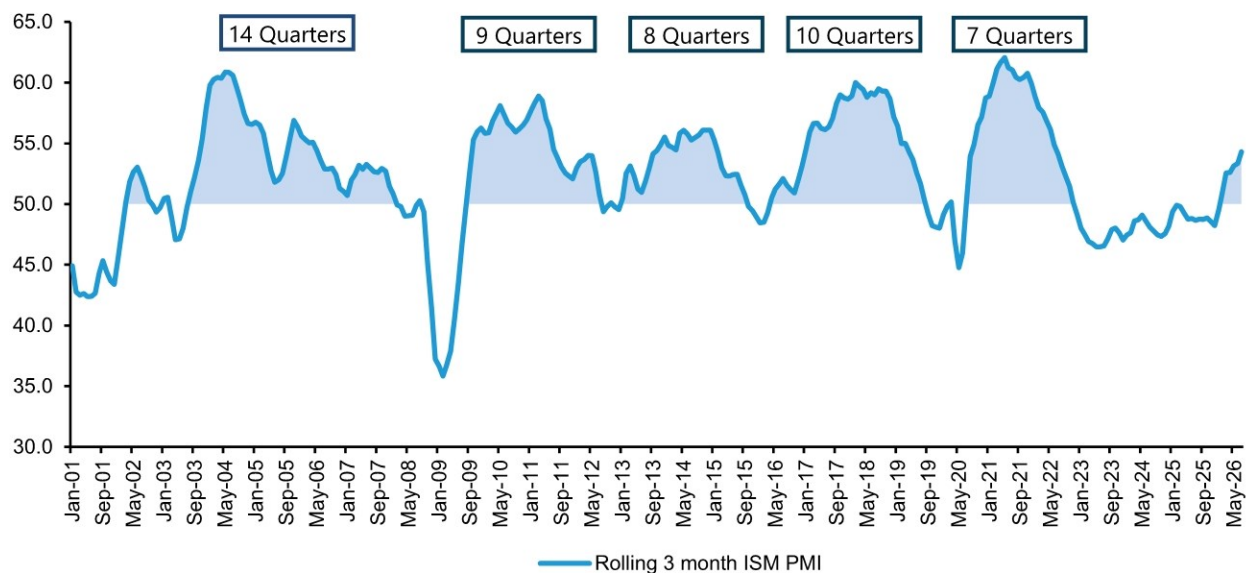
Six month growth in manufacturing IP (3 month rolling avg.)



1. DC exposed sectors includes computer and other electronics (includes semiconductors), HVAC, metalworking, power transmission machinery, construction machinery, batteries and other electrical equipment, & cement and concrete products. 2. Motor vehicle related - includes motor vehicle parts and automobile and light and heavy duty motor vehicle manufacturing

Source: Federal Reserve, Bernstein analysis

EXHIBIT 10: **ISM Manufacturing PMI**

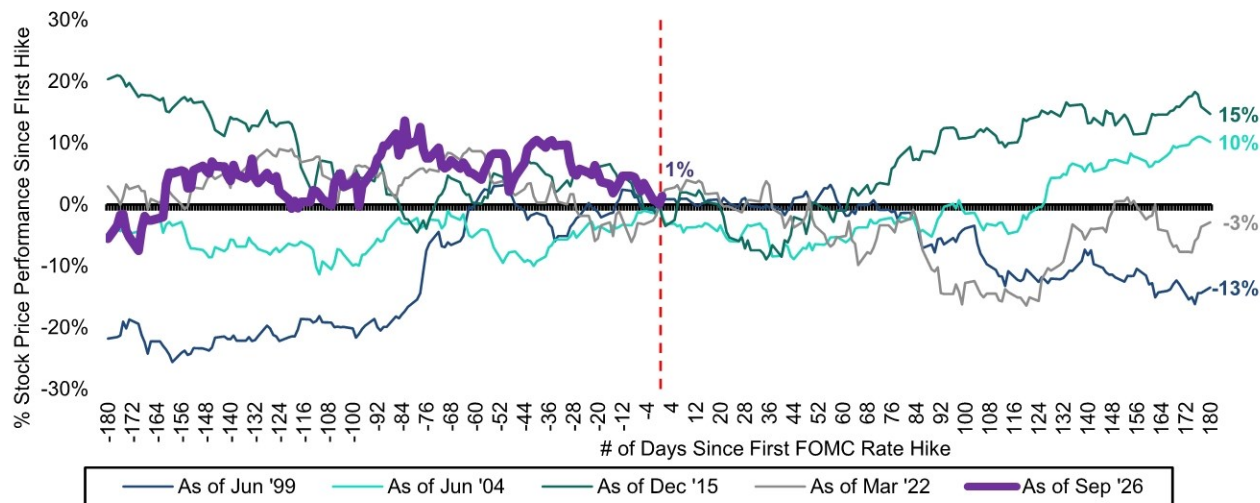


Source: Bloomberg, Bernstein analysis

INTEREST RATES VS. MACHINERY & MUTLI'S STOCK PRICES: UNDERPERFORMANCE NOT GUARANTEED, BUT OUTPERFORMANCE NOT PROMISED

EXHIBIT 11: **Rate Hike Jitters: The First Hike Does Not Necessarily Condemn Machinery & Multis Share Prices**

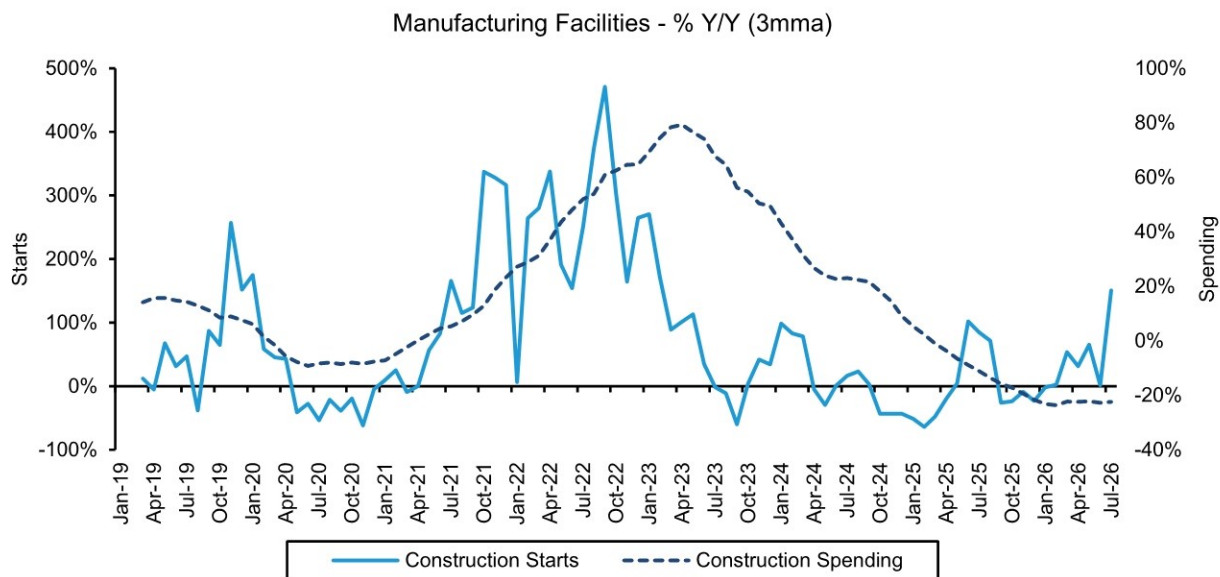
Machinery & Multi's Performance Into And Out Of The First FOMC Interest Rate Hike



Source: Bloomberg, Bernstein analysis

RESHORING PROOF OF LIFE: A SERIES OF WAVES, NOT A TSUNAMI

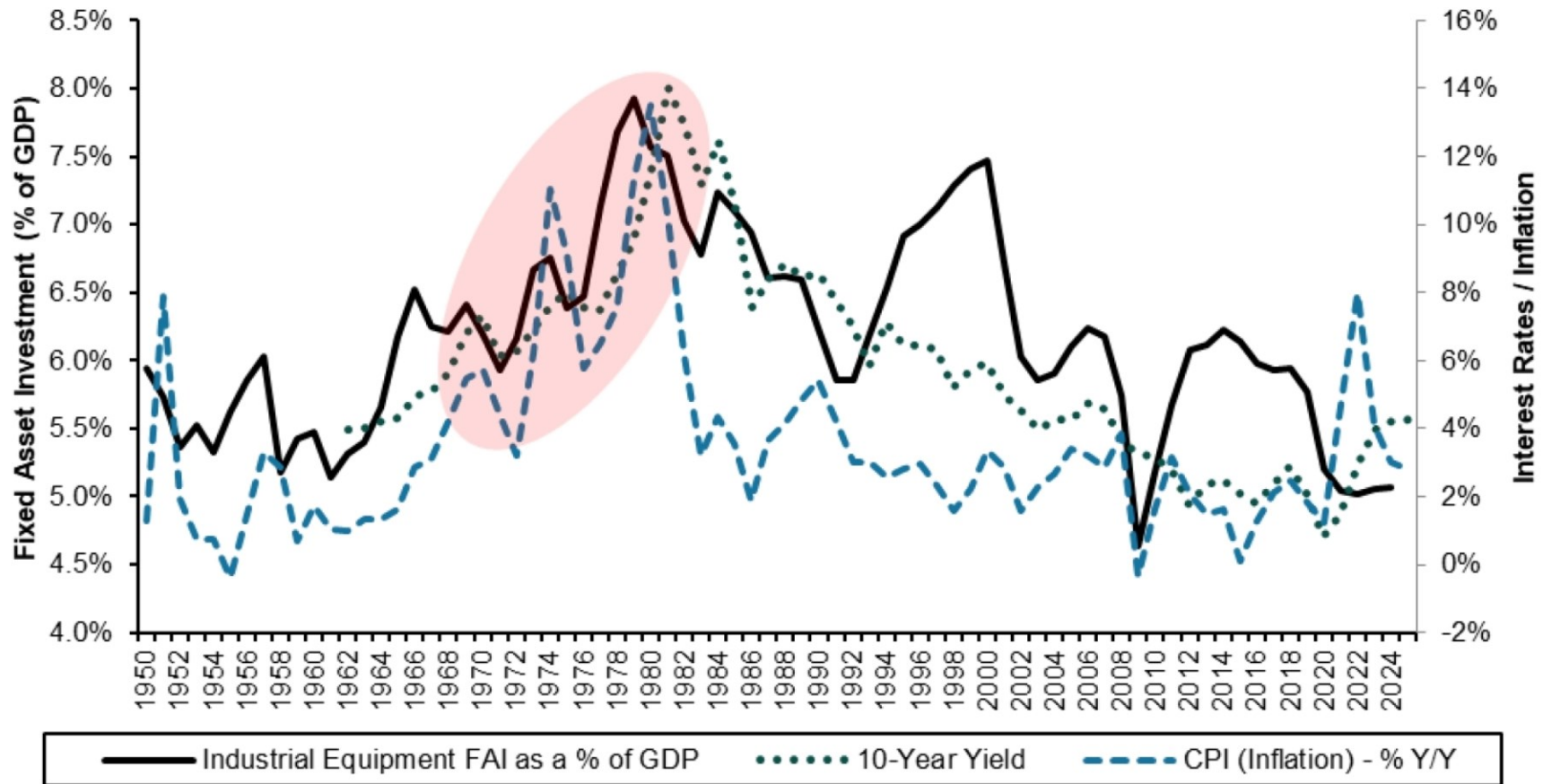
EXHIBIT 12: **The Next Reshoring Wave? Factory Construction Starts Have Inflected And Spending Tends to Follow Shortly Thereafter**



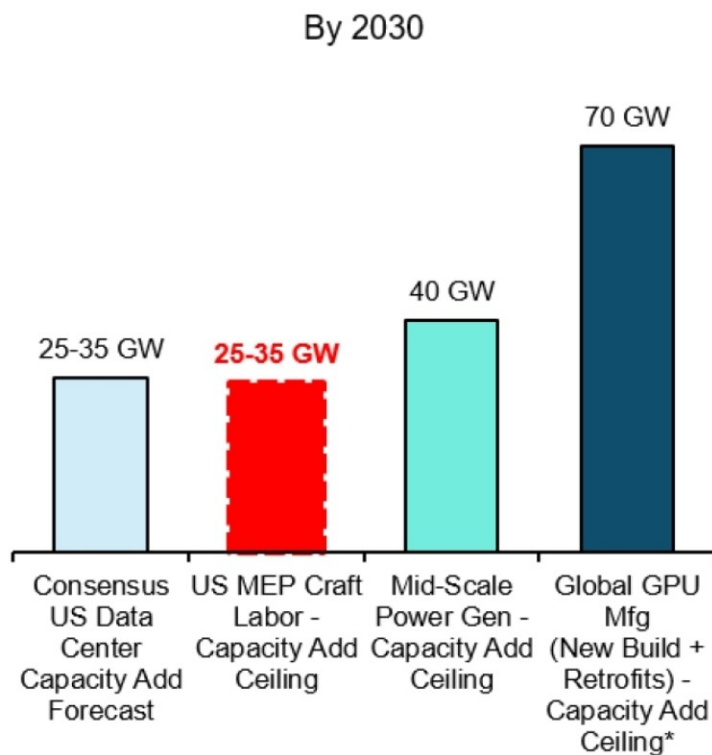
Source: Dodge Data and Analytics, US Census Bureau, Bernstein analysis

THE 5 SLIDES THAT CAPTURED THE MOST INVESTOR INTEREST

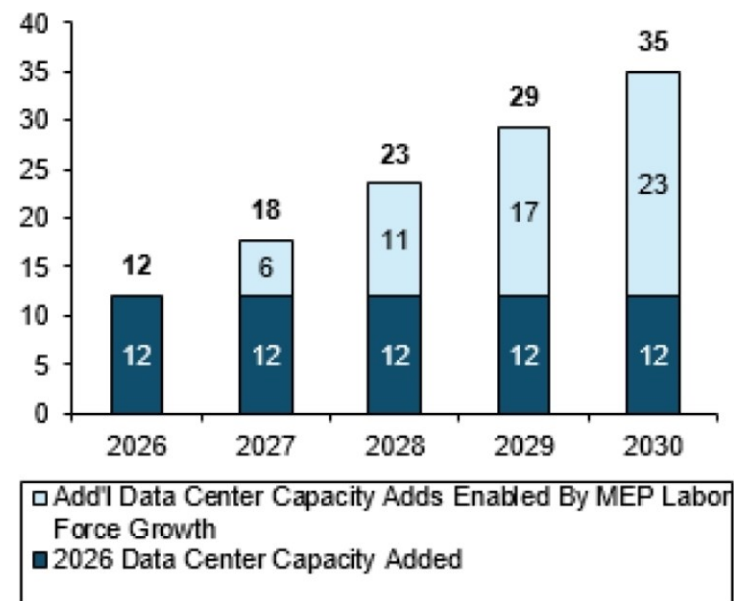
EXHIBIT 13: The Last Bout Supply Shock Driven Inflation Resulted in The Economy Reallocating Spending Towards Capital Equipment



Source: Bloomberg, Bernstein analysis



- Data Center Capacity Add Ceiling -
As Determined by MEP Craft Labor
Recruitment (GW)



Source: Bernstein analysis

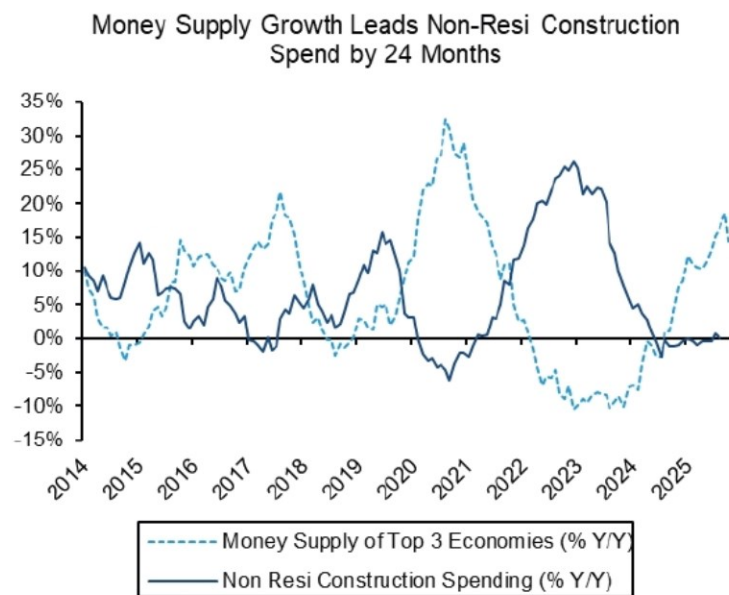
*Courtesy of Bernstein Japan & EU Semiconductor Team. Research Note Link:
Infineon/Renesas: CPU renaissance emerges as a second engine for power semi
demand, set to outstrip supply

Source: Bernstein analysis

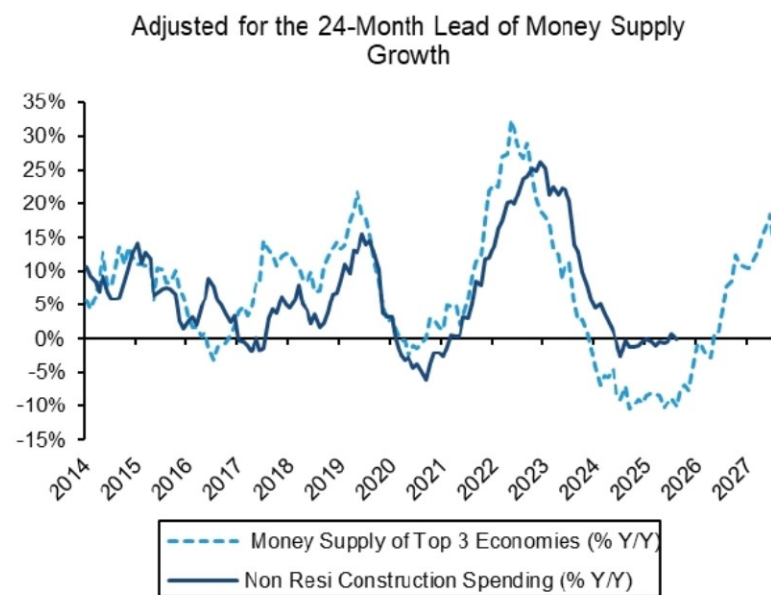
Source: Bernstein analysis

EXHIBIT 15: **Global Money Supply Has Flipped to Expansionary Mode, Which Suggests Non-Resi Spend Reaccelerates by Mid-2026**

US INDUSTRIALS



Source: US Census Bureau, Bloomberg, Bernstein analysis



Source: US Census Bureau, Bloomberg, Bernstein analysis

Source: US Census Bureau, Bloomberg, Bernstein analysis

EXHIBIT 16: The Next Reshoring Wave is Beginning: Manufacturers Are Guiding to Step Change Increases In '26 Capital Budgets

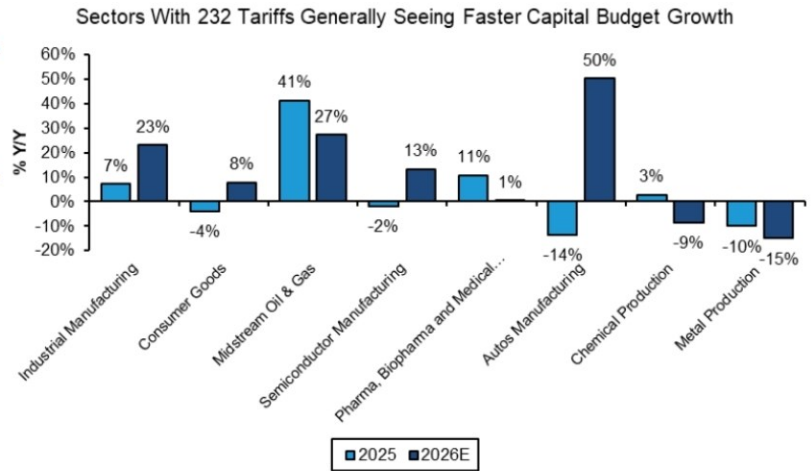
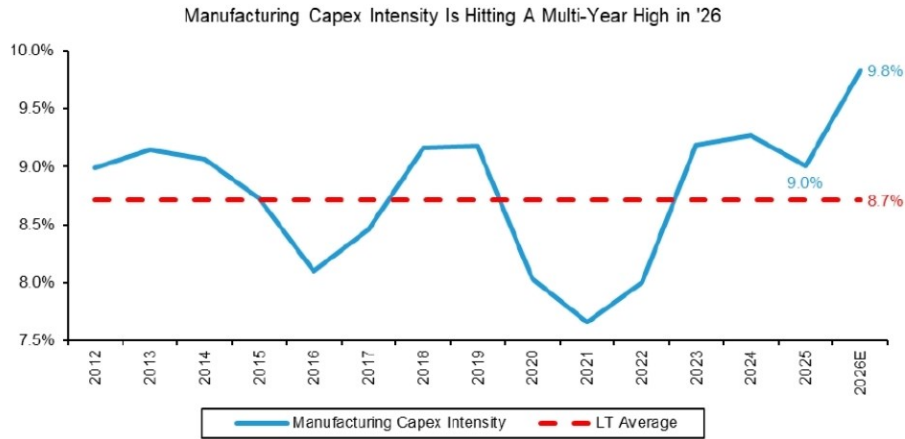
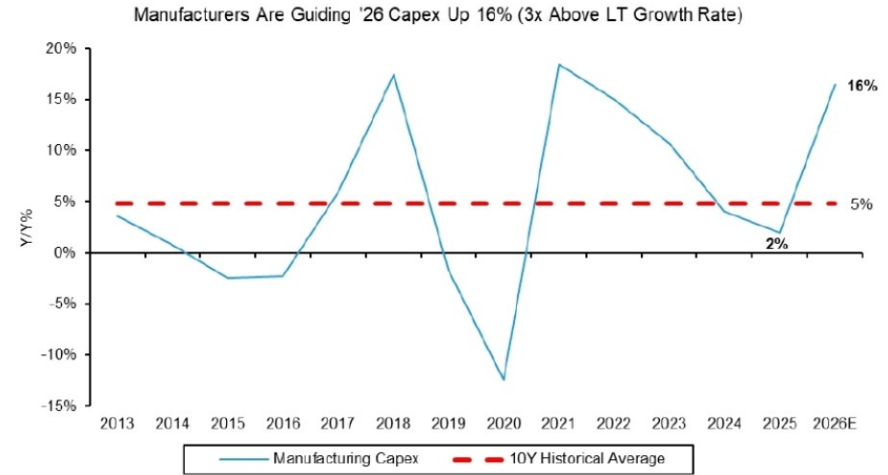
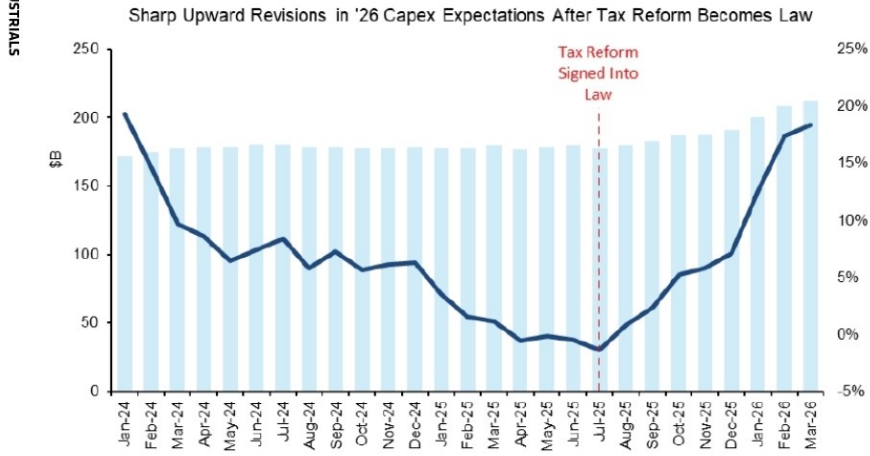
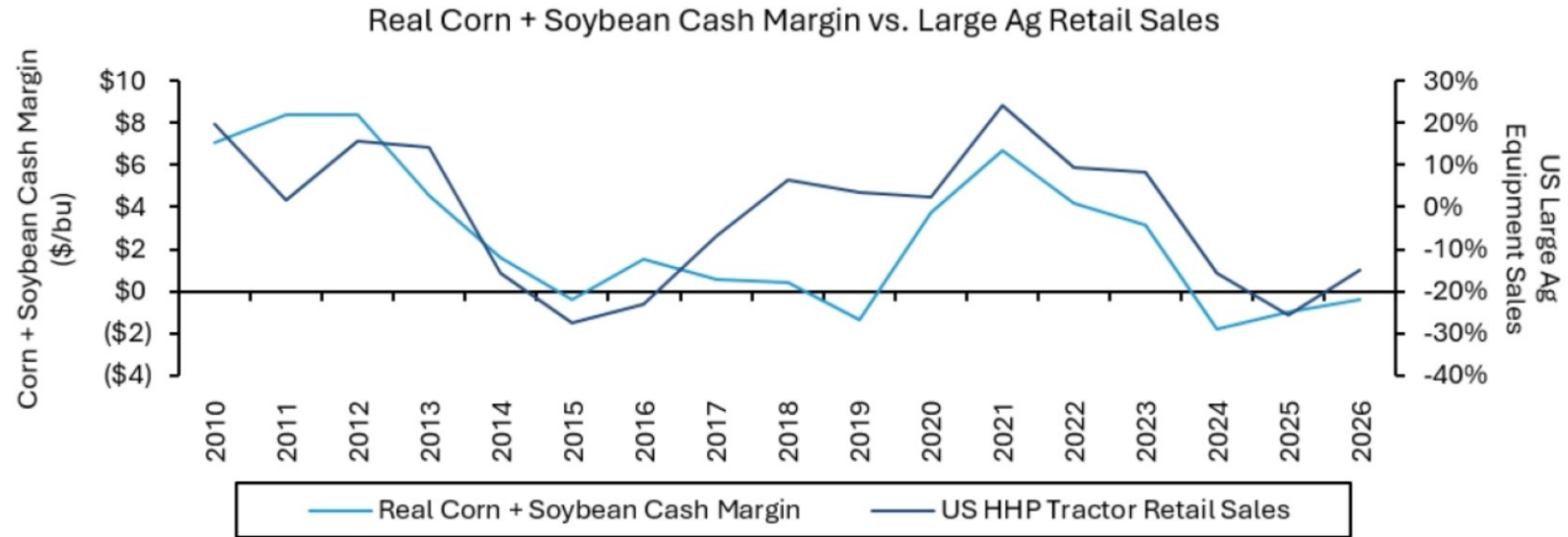
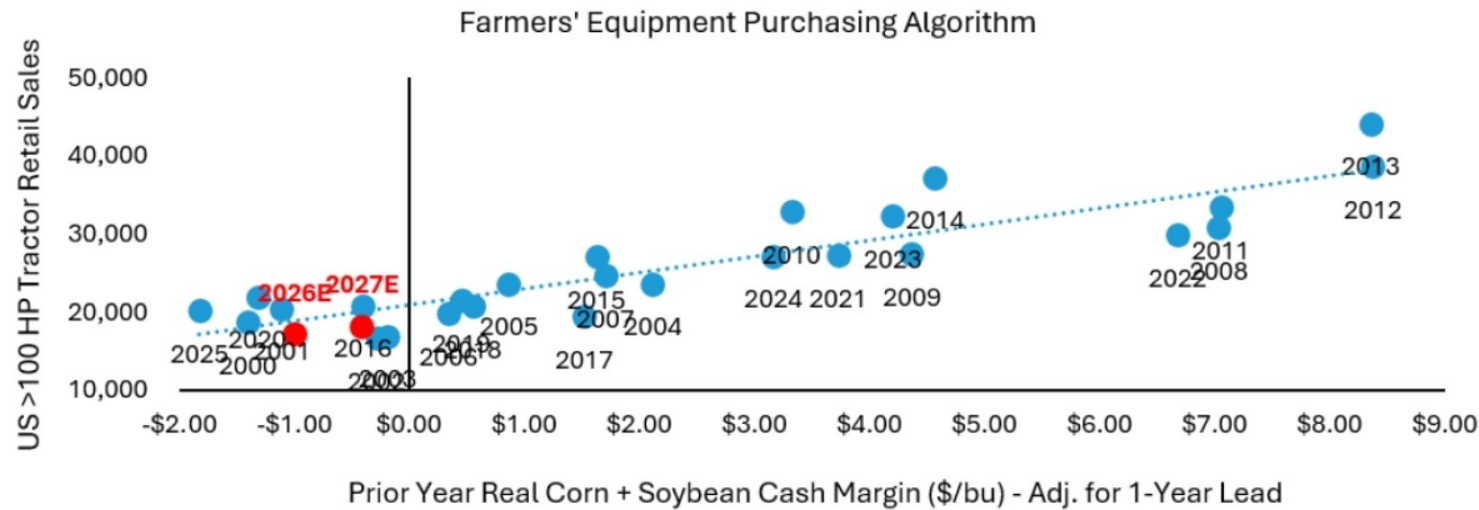


EXHIBIT 17: **Farmer Profits Will Marginally Improve, Pointing To Modest Demand Growth In '27**



Source: Bloomberg, USDA, Bernstein estimates and analysis



Source: Bloomberg, USDA, Bernstein estimates and analysis

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